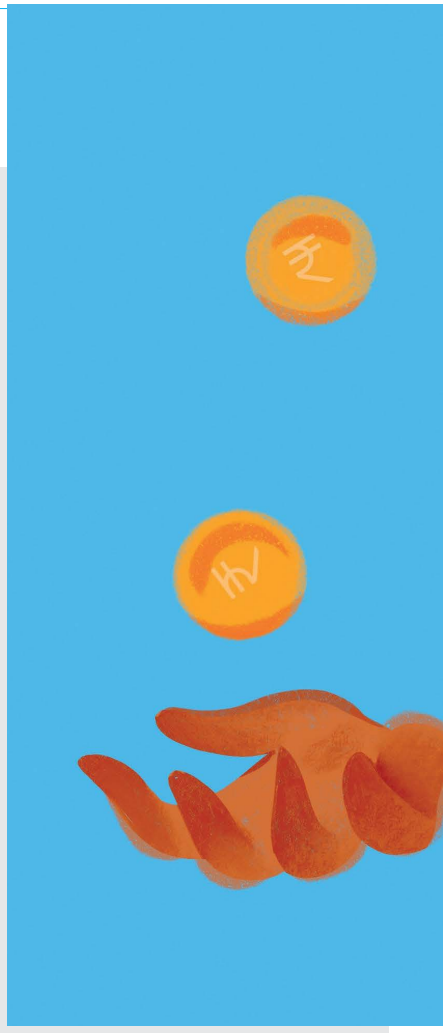
# END OF TAX SAVINGS AS WE KNOW



With no room to claim deductions on savings and investments in the new tax regime, the charm of tax savings under Section 80C will wane. The limit of Rs 1.5 lakh defined how taxpayers allocated their savings and investments. For many taxpayers, especially in the lower tax slabs, financial prudence came into play because of forced tax savings to reduce their tax liability. The gamut of financial instruments through which they could save taxes offered choices based on their risk-taking ability and financial needs.

Life insurance—the first form of financial defence—found many takers because of the tax savings one could claim on the premiums paid on the policy. Likewise, government-backed small savings schemes such as post office deposits and PPF are considered safe. Taxpayers found these instruments easy to understand for their fixed tenure and fixed return structure. In recent years, many taxpayers started to invest in tax-saving mutual funds or ELSS, heralding their first brush with stock market investing and exposure to equities.

For the salaried, the forced savings in the provident fund or the NPS ensured they started to save for their retirement. Considering the low financial awareness and literacy, such mandatory savings paved the way to think of one's financial future and involuntarily plan one's financial life. Similarly, today, home ownership is almost impossible without a home loan. The tax incentive that one could claim on home loan repayment—both interest and principal—provided taxpayers with the confidence to borrow and realise their dream to own a house. Given the 15-20-year tenure for most home loans, the tax concession by way of tax savings is a huge reason to own a house. In households where both spouses are employed, their combined income helped them to take a home loan. The tax benefits could be smartly claimed by both in proportion to their ownership of the house to maximise tax savings. That the tax benefit extended to even registration expenses of the purchased house was an additional advantage.

Even claiming expenses towards school fees is a big relief for many taxpayers. Another significant tax-saving avenue is towards medical expenses and medical insurance premiums that fall under Section 80D. Rising healthcare costs provided relief to taxpayers who could buy medical insurance and claim tax savings on the premiums paid for the policies subject to the limits prescribed.

In the new tax regime, the future of all these tax-saving avenues is at stake. There is no doubt, however, that the new tax regime simplifies tax liability and leaves more money in the hands of the taxpayers compared to the old regime. It also leaves the decision-making to save or invest without any tax incentives to taxpayers. ■

## SECTION 80C UNIVERSE

| Instrument | Suitability |
|---|---|
| **SAVINGS** | |
| Provident Fund (EPF/VPF) | Retirement savings |
| Public Provident Fund (PPF) | Long-term savings |
| National Savings Certificate (NSC) | Fixed income |
| Tax Saving 5 years FD from Banks | Fixed Deposit |
| 5 years Post Office Time Deposit (POTD) | Fixed Deposit |
| Senior Citizen Savings Scheme (SCSS) | Income and FD in retirement |
| **INVESTMENTS** | |
| Life Insurance Premium (Participating Plans) | Life Insurance + investment |
| NPS (National Pension Scheme) | Retirement plan |
| Equity Linked Savings Scheme (ELSS) | Equity mutual fund |
| Pension Plans from Insurance Companies (under Section 80CCC) | Retirement or annuity |
| Unit Linked Insurance Plan (ULIP) | Life insurance + investment |
| **SPENDING and SPECIAL CASE** | |
| Tuition fee for 2 children | Education cost |
| Stamp duty and registration of house | House purchase |
| Home loan principal payment | Home loan |